IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY APPLICATION NO. (CAA) - 86(ND)/2023

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

SVG MEDIA PRIVATE LIMITED

……. Transferor Company/Applicant Company

AND

AMNET TRADING INDIA PRIVATE LIMITED

…….Transferee Company/Non-Applicant Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 05.02.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Naresh Kumar, Adv.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. This is a 1st Motion Petition jointly filed by the Applicant Companies seeking approval of this Tribunal about the Scheme of Amalgamation under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 in respect of

above Applicant Companies. It is represented that the registered office address of the Transferor Company is situated in New Delhi and therefore the subject matter of the said petition falls within the jurisdiction of this Tribunal. However, The Transferee Company is outside the jurisdiction of this Hon'ble NCLT and is moving similar application with the Hon'ble National Company Law Tribunal, Mumbai Bench.

2. Ld. Counsel has given the brief description of the Applicant Companies, which are as follows:

a) The Applicant Company No. 1 namely M/s. SVG Media Private Limited bearing U45400DL2007PTC163788 was incorporated under the provisions of the Companies Act, 1956, as a Private Limited Company in the name and style "Tyroo Media Private Limited" vide Certificate of Incorporation dated on 22.05.2007 issued by the Registrar of Companies, NCT of Delhi and Haryana. The name of the Company was changed to its present name vide Fresh Certificate of Incorporation dated 28.12.2012. The registered office of Applicant Company No. 1 is situated at S-27, Second Floor, Star City Mall Market District Centre, Mayur Vihar- 1, Delhi-110091. The Authorized Share Capital of the Company is Rs. 84,00,000/- divided into 79,00,000 Equity Shares of Re. 1/- each aggregating to Rs. 79,00,000/-; 1,00,000 3% Compulsory Convertible Preference Shares of Re. 1/- each aggregating to Rs. 1,00,000/- and 4,00,000 0.01% Compulsory Convertible Preference Shares of Re. 1/- each aggregating to Rs. 4,00,000/- and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 2,66,513/- divided into 2,66,513 Equity Shares of Re. 1/- each.

b) The Non-Applicant Company namely M/s. Amnet Trading India Private Limited bearing CIN: U74900MH2014PTC257402 was incorporated under the provisions of the Companies Act, 2013 on 20.08.2014 as a Private Limited Company with the

Registrar of Companies, NCT of Delhi & Haryana. The registered office of Non- Applicant Company is situated at Devchand House, C Block, 2nd Floor, Shivnagar Estate, Dr. Annie Besant Road, Worli, Mumbai, Maharashtra- 400018. The Authorized Share Capital of the Non-Applicant Company is Rs. 25,00,000/- divided into 2,50,000 Equity Shares of Rs. 10/- each and the Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 1,00,000/- divided into 10,000 Equity Shares of Rs. 10/- each.

3. The Affidavit in support of the present petition have been sworn by Mr. William Martin Vaz being the Authorized Signatory of Transferor Company which is filed along with the petition.
4. The Board of Directors of the Applicant Company and the Non-Applicant Company in the respective meetings, held on 05.09.2023, considered and unanimously approved the proposed Scheme of Amalgamation.
5. The Applicant Companies have filed its Memorandum and Articles of Association inter alia delineating their object clauses as well as the certified true copy of the latest audited annual accounts of the Transferor Company/ Applicant Company for the financial year ended on 31st March 2023. as required under section 232(2)(e) of the Companies Act, 2013.
6. The Applicant Companies have filed the true copy of the proposed Scheme of Amalgamation and have outlined the benefit of the same, which are as follows:

(a) The Applicant Company and Non-Applicant Company are Group Companies engaged in the similar line of business and believe that the resources of the merged entity can be pooled to unlock the opportunity for creating shareholder value.

(b) The Companies will be able to share best practices, cross-functional learnings, and utilize each other's facilities in a more efficient manner.

(c) The proposed amalgamation will enable to consolidate group entities in India carrying on the business of providing digital media advertising and creative services to its clients in India

and providing services related to planning and implementation to its customers and will result in administrative and operational rationalization, organizational efficiencies, reduction in overheads, personnel and compliance costs including other administrative expenses.

(d) The proposed amalgamation would be beneficial from a revenue generation and cost optimization perspective as the Transferee Company would continue to reap benefits of the qualifications of the Transferor Company and its preferred vendor status with identified customers post-amalgamation.

(e) The proposed amalgamation will prevent cost duplication and will result in synergies in operations. The synergies created by such amalgamation would increase operational efficiency and integrate business functions which will enable easier and speedier decision making at all levels and better management and co-ordination.

(f) Simplified structure and management efficiency: In line with group strategy simplification, synergy, scale, sustainability and speed, the proposed merger by absorption will simplify group holding structure, improve agility to enable quicker decision making, eliminate administrative duplications, consequently reducing administrative costs of maintaining separate entities.

(g) The proposed amalgamation will improve organizational capability arising from the pooling of human capital that has diverse skills, talent and vast experience and integration and optimization of various support functions, resources, and assets.

(h) The proposed amalgamation would make it easier to address the needs of customers by providing them a wide variety of services ranging from digital media and advertising solutions to programmatic buying of digital solutions thereby improving customer satisfaction.

(i) The proposed amalgamation will be beneficial, advantageous

and not prejudicial to the interests of the shareholders, creditors, and other stakeholders of the Transferor and Transferee Company.

(j) The Scheme is commercially and economically viable and feasible and is in fact fair and reasonable.

7. The said Scheme of Amalgamation, inter alia, provides as under:

i. "All assets and liabilities including Income Tax and all other statutory liabilities, if any, of the Transferor Company will be transferred to and vest in the Transferee Company.

ii. All the employees of the Transferor Company in service on the Effective Date, if any, shall become the employees of the Transferee Company on and from such date without any break or interruption in service and upon terms and conditions not less favorable than those subsisting in the Transferor Company on the said date.

iii. Appointed Date for Amalgamation will be 1 April 2023.

iv. The Transferee Company will issue 1 (One) equity share of Rs. 10/- each, credited as fully paid up, for every 69 (Sixty Nine) Equity Shares of Re. 1/- each held in the Transferor Company."

8. The Transferor Company/Applicant Company has total of 2 (Two) shareholders and have given their consent to the proposed scheme of amalgamation. The Consent Letters of all the Shareholders along with the affidavit is filed along with the Petition.

9. The Transferor Company/Applicant Company does not have any secured creditors as on 30.06.2023.

10. The Transferor Company/Applicant Company has 5 (Five) Unsecured Creditors in the Transferor Company. 3 (Three) Unsecured Creditors aggregating to more than 90% in outstanding value of Transferor Company have given their written Consents/NOC in the form of affidavit for the proposed Scheme of Amalgamation. The Consent Letters of all the Unsecured Creditors along with the affidavit is filed along with the Petition.

11. The Applicant Company and the Non-Applicant Company are closely held Private Limited Companies under the same management and control. Status

of the Equity Shareholders, Secured Creditors and Un-secured Creditors of the Transferor Company and Consent Affidavits obtained for the proposed Scheme of Amalgamation is summarized in following table:

Company	**No. of Share Holders**	**Consent Given**	**No. of Secured Creditors**	**Consent Given**	**No. of Un-secured Creditors**	**Consent Given**
Transferor Company	2	All	**Nil**	**N.A.**	5	3

12. Having heard the submissions made by Ld. Counsel and having perused the records as well as the documents placed on record, we allow the following prayers:

    a. *"Dispense with the requirement of convening meetings of Equity Shareholders of the Applicant Company.*

    b. *That the meeting of Secured Creditors of the Applicant Company is not required to be convened.*

    c. *Dispense with the requirement of convening meetings of Un-secured Creditors of the Applicant Company.*

    d. *Direct service of notice of the present Application on (a) the Central Government through the office of the concerned Regional Director, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, New Delhi; (c) the office of the concerned Official Liquidator, New Delhi; and (d) the concerned Income Tax Department.*

    e. *Pass such other/further order(s) as this Hon'ble Tribunal may deem fit and proper."*

The prayer sought in the present petition bearing **CA.CAA-86(ND)/2023** stands **allowed** on the aforesaid term and is accordingly **disposed of**.

13. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

14. Let copy of the order be served to all the parties.

-Sd-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

-Sd-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)